

To: Ritu Deshpande, Head of D2C Operations **Cc:** Farhan Sheikh, Meenal Joshi, Tanmay Kulkarni

From: Kabir Nanda's team **Re:** Warranty fraud – what to do next week

The decision. Don't launch "a fraud model at 97% accuracy". Do two smaller things next week: put a short list of outlets back on mandatory inspection, and use the model to choose the 40 claims your desk can review each month.

Why not 97%. Only about 1 claim in 80 is fraud. A tool that says "nothing is fraud" is right 97–99% of the time (96.9% in June) – our model scores the same on that measure. Accuracy can't show the board whether anything works, so we measured something it can: **rupees of fraud stopped per claim reviewed.**

The number. In a back-test on June (model built only from earlier claims), reviewing 40 claims caught 14 of the 22 frauds – about **Rs 500 of fraud stopped per claim reviewed** (likely range Rs 300–700), or about **Rs 250 after** the Rs 380 goodwill we burn on each genuine customer we hold. That is roughly break-even once the Rs 260 cost of a service contact is counted. For the coming months, plan on **around Rs 350 per claim, with a wide range (Rs 100–600)**. Two in three claims we hold will be genuine customers.

The rupees. Confirmed fraud ran about Rs 37,000–66,000 a month from November to April. Since the 1 May change (claims under Rs 2,000 paid without inspection) there are more frauds but each is smaller (typically Rs 1,400 versus Rs 3,400), and almost all are small, uninspected claims.

Your hunch on new partners – partly right. Of the 36 frauds since May, 34 came from outlets onboarded in the last year. But 38 of the 46 new outlets with investigated claims are clean. It is a handful of outlets, not "the new ones": 8 outlets account for 79 of the 120 claims the model would hold in July–September. Before May the problem sat with about 7 older outlets, and has gone quiet. Meenal is right not to paint them all alike.

Next week

1. Put the 8 listed outlets (SP3129, SP3160, SP3232, SP3319, SP3252, SP3307, SP3287, SP3300) back on mandatory inspection and have the desk look at their open claims first. In June, outlets with two or more confirmed frauds since May produced 7 of the 22 frauds from 16 claims.
2. Use the ranked list (predictions.csv, screen in the service) for the other 40 reviews a month. Treat it as a queue, not a verdict.
3. Stop quoting accuracy. Report "Rs stopped per claim reviewed" and "genuine customers held".
4. Ask Tanmay to close out the open cases monthly; blanks are our biggest blind spot (about 3% of cases).
5. Re-train monthly. When Ops changed the approval rule in May, a model built on older claims was no better than a coin flip. Re-test after any policy change.

Where it can fail: it learned from 141 confirmed frauds; a new ring at an outlet with no history is only caught by how its claims look; and the next policy change will break it until it is retrained.